

performance is to lower your investment costs. Investors should scrutinize their portfolio and rid it of high-priced investment products that erode long-term performance.

How does investment cost affect investment performance? High costs could take thousands of dollars in income away from you every year. Consider this example.

Assume that a young man of age 24 starts saving 10 percent of his \$36,000 salary. Over his 40-year career, the man receives a 3 percent annual pay increase and saves 10 percent of that increase. He then retires at age 65 and begins to withdraw 4 percent of his retirement savings each year. Assume that he can invest in either a low-cost mutual fund family or a high-cost fund family. The low-cost funds have expenses of 0.5 percent per year, and the high-cost funds have expenses of 1.5 percent per year.

Assume that the markets earn 7.5 percent per year. [Table 15-1](#) shows the difference between a low-fee mutual fund portfolio that earns 7.0 percent after fees and a high-fee mutual fund portfolio that earns only 6.0 percent.

TABLE 15-1

One Percent in Fees Makes a Big Difference in Your Wealth

	6% Return	7% Return	Difference	% Increase
Retirement account value	\$1,471,394	\$1,943,699	\$472,305	32%
Annual withdrawal at 4%	\$58,856	\$77,748	\$18,892	32%
Monthly withdrawal	\$4,905	\$6,479	\$1,574	32%

In this example, the lower-expense funds accumulated 32 percent more money in 40 years. The cash benefit that resulted was over \$472,000. That is an enormous amount for someone in retirement. The extra money increased this person's annual retirement income by almost \$19,000 per year based on a 4 percent withdrawal rate.

COMPARING FUND EXPENSES

In 2009, Morningstar Principia database listed over 20,000 mutual funds that had a minimum initial purchase amount of less than \$10,000. This list